

17. 9:00 AM CASE NUMBER: MSC20-00566
CASE NAME: BENITEZ VS. STILLWATER INSURANCE COMPANY
*HEARING ON MOTION IN RE: LEAVE TO FILE TO FIRST AMENDED COMPLAINT
FILED BY: BENITEZ, JOHN
TENTATIVE RULING:

Before the Court is a motion by plaintiffs for leave to file a first amended complaint. For the reasons set forth, the motion is granted. Plaintiffs shall file their first amended complaint **by December 29, 2025**.

Background

This case involves an insurance dispute between plaintiffs and their insurer Stillwater Insurance Company following a fire at their residence. Plaintiffs' original complaint included a single cause of action for breach of the implied covenant of good faith and fair dealing against Stillwater.

After filing the complaint, an arbitration was held by an appraisal panel that determined an "actual cash value" (ACV) for their losses in an appraisal award issued in July 2022 ("first appraisal award"). (Kerley Decl. Exh. B [Prop. First Amended Complaint ("FAC") ¶ 21].) On motion, the Court vacated the first appraisal award. (FAC ¶ 22.) A second arbitration was conducted, and a second appraisal award was issued in November 2024 in which the appraisal panel determined the replacement cost value (RCV) of Plaintiffs' claimed losses was approximately \$201,000. (Prop. FAC ¶ 23; Yu Decl. ¶ 9 and Exh. 6.)

Plaintiffs allege in their proposed FAC that after the November 2024 second appraisal award with the \$201,000 RCV determination was confirmed, they made a claim to Stillwater on their policy for over \$596,000, which they allege Stillwater improperly denied. (Kerley Decl. Exh. B [Prop. FAC ¶¶ 24, 25].) Plaintiffs state that the proposed FAC eliminates claims that have been resolved concerning personal property losses and additional living expenses. (Kerley Decl. ¶ 2.) Plaintiffs also contend the proposed FAC addresses "Stillwater's refusal to pay replacement-cost benefits for repair of the dwelling following substantial completion of the repairs. The amendment also adds a narrowly drawn cause of action for declaratory relief, allowing the Court, in its discretion, to determine whether Stillwater's payment of the November 2024 appraisal award constitutes a proper basis to deny replacement-benefits coverage under Insurance Code § 2051.5." (Kerley Decl. ¶ 2.)

Legal Standards for Motion for Leave to Amend

The Court has broad discretion to grant leave to amend a pleading at any stage in a case. (*See* Code Civ. Proc. § 473(a) [court may allow amendment "in furtherance of justice, and on any terms as may be proper"].) (*See also* Code Civ. Proc. § 576 ["Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order."].) "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.

[Citations omitted.]" (*Morgan v. Superior Court of Los Angeles County* (1959) 172 Cal.App.2d 527, 530.) California has a liberal policy of allowing amendments to pleadings; it is a rare case when leave to amend should be denied, particularly when there is no showing of prejudice to the other side. (*Douglas v. Superior Court* (1989) 215 Cal.App.3d 155, 158; *Hong Sang Market, Inc. v. Peng* (2018) 20 Cal.App.5th 474, 488.)

Analysis

The proposed FAC includes a first cause of action for declaratory relief and a second cause of action for insurance bad faith. The proposed FAC alleges that the second appraisal award failed to address the replacement value of damaged areas and damaged items claimed by Plaintiffs as to which Stillwater disputes the scope of coverage or that the fire caused the claimed loss. (Prop. FAC ¶¶ 29, 31.) Stillwater contends these paragraphs of the proposed amended complaint mischaracterizes the second appraisal award. Stillwater's opposition includes a copy of the award and quotes provisions of that award that appear to belie those allegations. (Yu Decl. ¶ 9 and Exh. 6, p. 2, quoted at Opp. p. 7, ll. 15-26.) Plaintiffs' reply does not contest Stillwater's position in this regard, but whether those allegations are accurate or not does not necessarily preclude allowing Plaintiff's leave to file their amended pleading.

Stillwater also contends the new first cause of action of the proposed FAC is barred by the second appraisal award, which is binding on Plaintiffs as to the RCV to which they are entitled. Plaintiffs argue they are not challenging or collaterally attacking the determinations made in the second appraisal award. Plaintiffs assert in their reply that the second appraisal award does not preclude them from seeking the actual costs they incurred in completing their repairs, including those for the areas of disputed damage despite the RCV for losses determined in the second appraisal award. They contend that the second appraisal award does not bar their declaratory relief claim because the second appraisal award is "prospective," and merely a predicted an estimate of the repair costs, while the "replacement costs benefit" provided in their policy is "retrospective." (Prop. FAC ¶¶ 29-31.) They contend that the second appraisal award only provided a "hypothetical" ACV/RCV determination as of the date of the loss but did not determine, or foreclose a determination, that they have a statutory right to a different replacement cost value based on the actual costs they incurred when the repairs were completed under Insurance Code section 2051.5 and their policy. (Reply p. 3, l. 22 – p. 4, l. 5.) Plaintiffs argue the policy terms and Insurance Code section 2051.5 make Stillwater liable for the "actual, reasonable, and necessary cost to repair the dwelling up to the limits of the Policy" once the actual amount is determined after the repairs are completed.

The Court agrees with Stillwater that Plaintiffs' position raises the question of what purpose is served by an appraisal arbitration of the RCV if the RCV amount determined in the arbitration, not just the scope of damage covered by the policy or cause of the loss, can still be litigated. Nevertheless, the Court agrees with Plaintiff that a motion for leave to amend is not the appropriate vehicle for the Court to determine the merits of Plaintiffs' theory under Insurance Code section 2051.5 regarding the legal effect of the second appraisal award. Arguments regarding the merits of the claims alleged in the proposed FAC are more properly addressed in a challenge to the FAC after it is filed, whether by demurrer, motion to strike, motion for judgment on the pleadings, or motion for summary judgment. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760-761; *Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048 ["T]he preferable practice would be to permit the amendment and

allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings."].)

The futility doctrine relied on by Stillwater has typically been applied to deny a motion for leave to amend where, for example, the claim is clearly barred by a failure to exhaust administrative remedies or is clearly barred by the statute of limitations. (See, e.g., *California Casualty Gen. Ins. Co. v. Superior Court* (1985) 173 Cal.App.3d 274, 280-281, disapproved on other grounds in *Kransco v. American Empire Surplus Lines Ins. Co.* (2000) 23 Cal.4th 390 [granting petition for writ of mandate and reversing trial court's denial of leave to amend answer to add novel affirmative defense]; *Foxborough v. Van Atta* (1994) 26 Cal.App.4th 217, 230 [proposed amendment barred by statute of limitations and no basis for "relation back"]; *Royalty Carpet Mills, Inc. v. City of Irvine* (2005) 125 Cal.App.4th 1110, 1124 [denial of leave to amend petition for writ of mandate affirmed because amended claim barred by statute of limitations].)

No trial date is set in the case, and discovery is ongoing. A continued case management conference is set for January 13, 2026, and there are a series of discovery motions scheduled in June 2026. Stillwater has not shown prejudice if the amended complaint is allowed to be filed, other than having to attempt to defeat the amended claims on the merits. Stillwater will have the opportunity to challenge the merits of amended claim by means other than opposition to this motion. Given the liberal policy of allowing amendment of pleadings, and the lack of a showing of prejudice, the Court will follow the "preferable practice" and not test the legal merit of the FAC on this motion.

18. 9:00 AM CASE NUMBER: MSC21-00636
CASE NAME: THUAT TON-HARMON VS. FPI MANAGEMENT, INC.
***HEARING ON MOTION IN RE: SET TRIAL DATE**
FILED BY: TON-HARMON, THUAT
TENTATIVE RULING:

Appearance required.

19. 9:00 AM CASE NUMBER: N25-1806
CASE NAME:
***HEARING ON MINOR'S COMPROMISE PETITION FOR APPROVAL OF COMPROMISE OF CLAIM OR ACTION OR DISPOSITION OF PROCEEDS FILED ON 9-10-25 BY NOAH BINSOL**
FILED BY:
TENTATIVE RULING:

The petition for minor's compromise is approved.